

The Big Picture

If you have credit card debt, get rid of it before diverting money to investments. If you don't have an emergency fund that would cover three to six months of basic expenses if you were to lose your job or become unable to work, establish one before tying up your cash in investments. In addition, if you're not taking advantage of company matching in your employer's 401(k) plan, you're ignoring a great opportunity.

If You're Ready

If you allow yourself to be intimidated by the complexities of the stock market, you'll miss out on the benefits of one of the best investments available. Forget about futures, options, puts and calls, and all those confusing terms you hear bandied about by news analysts. The average investor never deals with them.



Where's the best place to invest my long-term savings?

Over the last eighty years or so, the stock market has produced average returns in the double digits when you take into account growth and dividend income. You can buy individual stocks or you can diversify your risk by buying mutual funds, which invest in many different companies and feature professional management at relatively modest cost.

Your overall investment objective is to create wealth. You may want to save for a down payment on your first house, finance your kids' college educations, go on a luxury vacation, provide for a comfortable retirement, or achieve any number of other objectives.